

DETERMINING MATERIAL TOPICS

GRI 3-1 to 3

Haycarb Group performs a materiality assessment annually to identify and prioritise the matters most significant to its business

and stakeholders. Our material topics are determined through an integrated assessment of the external environment,

stakeholder expectations, strategic priorities, enterprise risks and key value creation drivers.

MATERIALITY ASSESSMENT PROCESS



EXTERNAL ENVIRONMENT

Assessing emerging trends, market developments and external factors shaping the business landscape.



STRATEGY

Evaluating alignment with strategic priorities, business objectives and long-term growth ambitions.



RISKS & OPPORTUNITIES

Considering key risks and opportunities that may influence performance, resilience and value creation



STAKEHOLDER PERSPECTIVES

Understanding the expectations and interests of stakeholders across the value chain.



DOUBLE MATERIALITY ASSESSMENT

Evaluating both financial significance to the Group and impacts on stakeholders and the environment.

Organisational Materiality

- » Financial impact
- » Innovation opportunity
- » Reputation
- » Externalities
- » Strategic link
- » Risk

Impact Materiality

- » Customers
- » Employees
- » Shareholders
- » Suppliers
- » Business partners
- » Government
- » Community
- » Environmental



20 Material Topics

Identifying and prioritising the matters most significant to the Group and its stakeholders.

The materiality assessment was reviewed and validated by the Corporate Management Team and approved by the Board of Directors as part of the Group's annual reporting and sustainability governance processes. Our materiality assessment process is aligned with the Hayleys Group Material Assessment Policy, ensuring a consistent and structured approach across the Group.

Our materiality assessment for 2025/26 led to the addition of "Energy cost" as a new material topic while "Marketing and labelling" was no longer considered material. The changes reflect evolving operating conditions, stakeholder expectations and emerging business priorities. Our material topics for the year under review are presented herewith. Each material topic is linked to the Group's

strategic priorities, principal business risks, capitals and applicable GRI disclosures to strengthen connectivity across the Annual Report.

DOUBLE MATERIALITY

We apply a double materiality lens to identify the matters most significant to the Group and its stakeholders. This approach considers both the potential effects of sustainability-related matters on the Group's ability to create long-term value and the impacts of the Group's activities on stakeholders, society and the environment.

Organisational Materiality – Evaluates how a matter could influence the Group's strategy, business model, performance, cash flows, access to finance and long-term value creation.

Impact Materiality – Assesses the actual or potential impacts of the Group's activities on stakeholders, communities and the environment across the value chain.

FINANCIAL STATEMENT CONNECTIVITY

Following the double materiality assessment, the Group evaluates how identified sustainability-related matters, risks and opportunities may influence its financial position, financial performance and cash flows over the short, medium and long term. This assessment considers the potential impact of material matters on revenues, operating costs, capital expenditure requirements, asset values, financing arrangements, liquidity and long-term value creation.

The assessment also examines the extent to which material matters may affect strategic decision-making, resource allocation and

the resilience of the Group's business model across different operating environments. Where relevant, the evaluation considers both current period financial effects and potential future implications that may influence recognised amounts, disclosures, estimates, assumptions or management actions.

The insights derived from this assessment support enhanced connectivity between sustainability-related disclosures, principal business risks, strategic priorities and the consolidated financial statements, enabling a more integrated understanding of the factors that drive the Group's long-term performance and value creation.



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